

Global Aerospace & Defense

GE Aerospace

Rating

Outperform

Price Target



421.00 USD (405.00 OLD)



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GE Aerospace: Strength continues; Another big beat for Q2 - But, this time also a raise plus a positive Farnborough

GE Aerospace beat consensus and our estimates when they reported Q2 on July 16. Unlike the beat in Q1, GE this time raised guidance for the year, as confidence in the outlook appears stronger. Although there is still uncertainty regarding the outcome of the war in Iran and its effect on fuel prices, assumptions are (including ours) that the worst is likely over for fuel. Economic conditions remain solid, which is most important. The guide for reaching the high end of 2,300-2,400 shop visits for CFM56 in 2026 and 2027 was positive. We expect CFM56 shop visits to remain at these levels through 2030.

GE shares fell after reporting, which we attribute to expectations for a perfect quarter (which it largely was). One concern we heard was that service orders were down relative to Q1. But, we did not see an issue here, with orders up 22% YoY and shop visit backlogs already extended on each platform. The Farnborough Air Show has been positive for GE, including a 1,000 engine order from IndiGo.

In Commercial Engine & Services, we raise our estimates for widebody services, with more shop visits, heavier worksopes on the GE90, higher content and improved pricing on the GEnx. On narrowbodies, we expect better pricing on LEAP contracts signed after 2021 (shifting to time & materials) to flow to revenue from 2028/2029 onward. For CES OE, we have increased our LEAP delivery forecast in the outer years as Boeing raises 737 MAX production rates. DP&T should benefit from defense aftermarket activity and rising sustainment spending.

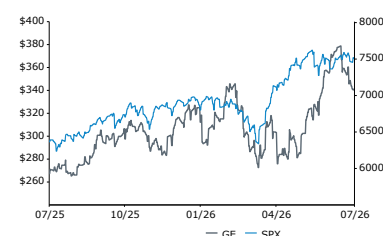
Investment Implications

We maintain Outperform rating for GE and raise our target to \$421, up from \$405. The change comes from a stronger growth outlook for both CES and DPT.

Close Date	22 Jul 2026			
GE Close Price (USD)	341.19			
Price Target (USD)	421.00			
Upside/(Downside)	23%			
52-Week Range	382.97/254.66			
SPX	7,498.96			
FYE	Dec			
Div Yield	0.6%			
Market Cap (USD) (M)	354,006			
EV (USD) (M)	401,955			
Performance	YTD	1M	6M	12M
Absolute (%)	10.8	(3.9)	15.7	31.7
SPX (%)	9.5	0.4	8.5	18.8
Relative (%)	1.2	(4.3)	7.2	12.9

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Adjusted EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
GE (USD)	6.37	7.83	9.16	Revenues (M)	45,855	53,145	58,872	13.3%	Adjusted P/E (x)	53.6	43.6	37.3
OLD	--	7.59	8.82	FCF (M)	7,302	8,687	9,990	--	EV/EBITDA (x)	39.2	33.3	28.8
				Reported EPS	8.07	8.64	10.43	--	EV/EBIT (x)	39.8	37.3	31.1
									FCF Yield (%)	2.00	2.43	2.83

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

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DETAILS

In Q2, GE beat consensus revenues and earnings. Guidance was raised for 2026 with adjusted revenue growth expected in the high-teens range (previously LDD). CES revenue expected to grow in the ~20% range which is up from prior midteens guidance. We raise our 2026 and 2027 adj EPS estimates to \$7.83 and \$9.16 from \$7.59 and \$8.82, primarily from a better outlook at both CES (largely from widebody services) and DP&T.

Our outlook for widebody services revenue has been revised upward, reflecting increased revenue contributions from both the GE90 and GEnx. We expect GE90 shop visits to continue to grow through 2030. With roughly 70% of the GE90 fleet yet to undergo its second, higher-value shop visit, the mix shift toward heavier worksopes should support aftermarket growth. For the GEnx program, we expect services revenue to grow in the mid-teens range between 2025 and 2030, driven by higher shop visit volumes, increasing workscope content, and improved pricing.

For CES OE, we have increased our LEAP delivery forecast in the outer years as Boeing raises 737 MAX production rates. We model rate increasing from 52 to 57 per month in Q2 2028 and from 57 to 62 per month in Q2 2029, and then from 62 to 65 per month in Q2 2030. We have raised CES margins in the outer years, as we now expect GE9X losses to peak in 2028 and subsequently decline, driven by lower losses per engine as production volumes increase.

Defense continues to have a strong backlog with solid growth ahead. 30% of this business is in international markets. We have raised our revenue estimates for DP&T, as we expect the business to benefit from defense aftermarket activity and rising sustainment spending.

Q2 EARNINGS

Guidance was raised for 2026 with adjusted revenue growth expected in the high-teens range (previously LDD). For the CES segment, GE's new 2026 revenue growth stands at +20% growth, up vs prior guide of mid-teens. The primary difference comes from Services, where GE now expects growth in the low-20s vs the previous mid-teens expectation. This implies over ~\$1bn improvement in commercial services revenue. We see the improved revenue expectations driven partly by a better CFM56 shop visit outlook and higher material availability. For CES Equipment, revenue is expected to grow in the +20% range, up from prior guide of mid/high teens range. This implies a \$200mn improvement in OE revenue as the LEAP delivery guide was also raised for the year. For DPT, revenue is expected to grow in the low double-digit range, up from prior guide of mid to high single digits.

CFM56 shop visits are expected to trend toward the high end of the 2,300 to 2,400 range for the year. Management noted that CFM56 work scopes are expected to remain stable through 2028 and 2029, with revenue growth driven by higher volumes, improved pricing, and better material availability. As a result, revenue per shop visit is increasing, not because of broader work scopes, but because the company is now able to complete some of the heavier maintenance work that could not previously be performed due to material constraints. GE expects CFM56 shop visits to remain in the 2,300–2,400 range through 2028, with a modest decline thereafter. We expect shop visits for CFM56 to move slightly higher and extend further than we see in GE's guidance. We see spare parts and MRO shop capacity as the limiting factor that keeps GE's forecast below the demand level.

Widebody engine program worksopes remain favorable. For the GEnx, shop visit worksopes are expected to expand as the mix shifts from quick turns toward higher-value performance restoration visits. For the GE90, approximately 70% of the fleet has yet to undergo its second shop visit. As these second shop visits, which carry significantly larger worksopes than the first shop visits, begin to flow through, they should support continued aftermarket revenue growth.

CES should see margin expansion in 2028 and beyond. The company expects CES margins to improve as LEAP aftermarket margins move closer to segment-wide aftermarket levels and as GE9X losses, which are expected to peak in 2028, begin to decline thereafter. GE9X losses are expected to double this year as shipments double, putting pressure on CES OE margins. These losses should be more pronounced in the second half of the year, particularly in Q4, as deliveries remain weighted toward the latter part of the year.

LEAP delivery outlook - For 2026, GE guided to high-teens increase in LEAP deliveries, up from its prior guidance of 15%. This implies between 1,096 and 1,130 LEAP deliveries in the second half of the year. This outlook is supported by production rate increases that Boeing and Airbus have planned on the 737 MAX and A320neo aircraft. Airbus is looking to increase A320 family production to between 70 and 75 aircraft per month by the end of 2027. For the 737, Boeing expects to move to 47/

month by the summer of 2026. LEAP related AOGs have come down from improved spare engine availability in the field and reduced shop turnaround times. While spare engine ratio is coming down, the spare engine deliveries continue to grow as install engine shipments grow. Over the life of the LEAP program, the company expects the spare engine ratio for LEAP to be in low-double digits (10% to 12%).

2027 outlook - At our SDC conference in May, GE mentioned that it expects CES services revenue to grow in the double-digit range in 2027. This was reiterated on the Q2 call. Shop visits are backed up by 12-18 months of backlog on major programs. The engines already off-wing and planned removals in the third quarter exceed the company's full-year shop visit guidance by more than 40%, thereby de-risking its 2026 outlook.

LEAP-1B durability kit - GE completed certification of the LEAP-1B durability kit, which includes upgraded HPT blades. The kit is expected to deliver a twofold improvement in time on wing, with full MRO and new-make cutover expected in early 2027. The company has already equipped more than 40% of the LEAP 1A installed base with these durability kits. Retrofitting the LEAP-1A and LEAP-1B fleets is a multi-year effort, and management does not expect the fleets to be fully retrofitted before early 2030s.

CES Services Orders - We heard concerns on order intake as an indicator of aftermarket demand slowing down in Q2 (up +22%YoY). But orders can be lumpy and were up +49% in Q1'26, while GE has a large backlog it needs to deliver on. Our understanding is that shop visits are effectively sold out for 18 months across platforms. We rarely see new orders come in for MRO slots beyond that timeframe.

EXHIBIT 1: Reported results vs Bernstein, consensus and guidance

		Adj. Revenue (\$ bn)					Adj. EPS (\$)		
GE	Q2	Full Year			Q2	Full Year			
	2026	2025	2026E	2027E	2026	2025	2026E	2027E	
Reported	12.6	42.3			\$2.02	\$6.37			
Bernstein (Pre)	11.8		48.5	53.6	\$1.83		\$7.59	\$8.82	
Consensus (Pre)	11.9		48.7	53.7	\$1.86		\$7.56	\$8.69	
New Guidance			High teens				\$7.65 - \$7.85		
Bernstein (Post)			49.9	55.3			\$7.83	\$9.16	

Source: Company reports, Bernstein analysis and estimates

SEGMENT RESULTS

GE reported non-GAAP EPS of \$2.02, above consensus \$1.86. Adjusted revenue of \$12.6bn was above consensus expectations of \$11.9bn. At a segment level, revenues at CES of \$9.73bn were above consensus \$9.16bn (Exhibit 2). Segment profit of \$2.66bn was ahead of consensus estimate of \$2.47bn. Revenues of \$3.44bn at DPT were above consensus of \$3.20bn and segment profit of \$475mn was above consensus estimate of \$395mn.

Within CES, services grew by +26% with internal shop visit revenue up 25% and spare parts revenue up over 25%. CES Equipment revenue grew 30%, driven by unit volume up 26%, including LEAP up 24%. LEAP deliveries were up 24% YoY (~510 engines), which puts YTD LEAP deliveries at 1,030. Margins of 27.3% in CES and 13.8% in DPT each beat our estimates (27.1% and 12.4%, respectively). On a YoY basis, margins at CES contracted from install engine growth (including GE9X), investments and inflation. Total orders increased +17% year-over-year, driven by a 18% increase in CES and a +12% increase in DPT.

EXHIBIT 2: Segment results

Segment	Revenues			Margins			
	Reported	Bernstein	Year ago	Reported	Bernstein	Last Q	Year ago
CES	9,731	9,093	7,646	27.3%	27.1%	26.4%	28.9%
D&PT	3,443	3,173	2,978	13.8%	12.4%	11.8%	13.5%
Adjusted	12,634	11,760	10,151	21.7%	21.6%	21.8%	23.2%

Source: Company reports, Bernstein analysis and estimates

The guidance was raised across the board for FY2026 (Exhibit 3) with adj revenue growth expected in high-teens range (previously LDD). CES now expects revenue growth of ~20%, up from our prior outlook of mid-teens. This is driven by higher

services revenue, which is now expected to grow low 20s, up from mid-teens, and equipment revenue growth of ~20%, up from mid-to-high teens. CES operating profit raised to \$10.25-\$10.35bn, up from prior guide of \$9.6-\$9.9bn. For DPT, revenue is expected to grow in the low double-digit range, up from prior guide of mid to high single digits. Adjusted EPS is now expected to be in the range \$7.65-\$7.85 (previously \$7.10-\$7.40).

EXHIBIT 3: 2026 Updated Guidance

After 2026Q2, for 2026	Guidance	Previous
CES	~20%	Mid-teens
DPT	+LDD	MSD-HSD
Adj. Revenue Growth	High teens	LDD
CES segment profit	\$10.25 - \$10.35bn	\$9.6bn - \$9.9bn
DPT segment profit	\$1.6bn - \$1.7bn	\$1.55bn - \$1.65bn
Corporate & Eliminations	\$(1.2)bn - \$(1.3)bn	\$(1.2)bn - \$(1.3)bn
Adj. operating profit	\$10.55B - \$10.75B	\$9.85bn - \$10.25bn
Adj. EPS	\$7.65 - \$7.85	\$7.10 - \$7.40
FCF	\$8.9B - \$9.2B	\$8.0bn - \$8.4bn

Source: Company reports, Bernstein analysis

CES

Within CES, services grew by +26% with internal shop visit revenue up 25% and spare parts revenue up over 25%. CES Equipment revenue grew 30%, driven by unit volume up 26%, including LEAP up 24%. LEAP deliveries were up 24% YoY (~510 engines), which puts YTD LEAP deliveries at 1,030. However, margins at CES contracted 160bps to 27.3% (still beating our 27.1% estimate) from install engine growth (including GE9X), investments and inflation. Cash outflow attributed to the GE9X program are expected at around \$1bn in 2026 to cover the operating cost and Capex.

DPT

Q2 revenue was \$3.44bn, was above our estimate of \$3.17bn. Defense and Systems revenue was up 12%, with growth in both services and equipment, including deliveries up 7%. P&AT revenue increased 23% with strong growth driven by Avio Aero. Profit of \$475mn was up 18% YoY and margins increased 30 bps from increased volume and price, partially offset by mix, investments, and inflation. Defense had a book-to-bill of 1.0x in 2Q, 1.7x in H1 2026.

Separately, GE secured a contract with the U.S. Air Force to mature the GE426 engine through preliminary design review to support its medium thrust class Autonomous Collaborative Platform.

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 4: Annual Income Statement

GE Aerospace Annual Income Statement (\$ mil)		>>post movement of Aeroderivative to DPT					
Fiscal Year Ending December 31,	2024	2025	2026E	2027E	2028E	2029E	2030E
CES	26,881	31,948	38,495	43,311	47,518	51,908	55,536
DP&T	9,479	12,197	13,595	14,411	15,260	16,142	17,051
Eliminations	(1,239)	(1,823)	(2,165)	(2,384)	(2,592)	(2,810)	(2,998)
Total Segment Revenue	35,121	42,322	49,925	55,339	60,186	65,240	69,589
Insurance	3,582	3,533	3,220	3,533	3,533	3,533	3,533
Total Revenue	38,701	45,855	53,145	58,872	63,719	68,773	73,122
CES	7,055	8,662	10,312	11,843	13,446	14,783	16,073
DP&T	1,061	1,468	1,690	1,830	1,962	2,109	2,265
Total segment profit (loss)	8,116	10,130	12,003	13,673	15,408	16,892	18,338
Corporate & Other operating profit (cost)	(337)	(99)	(1,218)	(738)	(783)	(828)	(868)
Interest and other financial charges	(986)	(843)	(929)	(865)	(861)	(862)	(856)
Non-operating benefit income (costs)	841	788	743	768	768	768	768
EBT	7,625	10,038	10,603	12,838	14,531	15,970	17,382
Provision for income taxes	(963)	(1,405)	(1,539)	(2,028)	(2,310)	(2,539)	(2,764)
Income from continuing operations	6,662	8,633	9,065	10,809	12,221	13,431	14,619
Discontinued operations	(91)	103	(64)	-	-	-	-
Non-controlling interests	(12)	5	(3)	-	-	-	-
Net income	6,559	8,742	8,998	10,809	12,221	13,431	14,619
Preferred dividends	-	-	-	-	-	-	-
Net income to GE shareholders	6,559	8,742	8,998	10,809	12,221	13,431	14,619
Basic EPS	\$ 6.13	\$ 8.13	\$ 8.72	\$ 10.54	\$ 12.12	\$ 13.53	\$ 14.92
Diluted EPS	\$ 6.09	\$ 8.07	\$ 8.64	\$ 10.43	\$ 11.99	\$ 13.38	\$ 14.75
Adj. EPS	\$ 4.60	\$ 6.37	\$ 7.83	\$ 9.16	\$ 10.68	\$ 12.02	\$ 13.35
Dividend per share	\$ 1.12	\$ 1.38	\$ 1.78	\$ 2.03	\$ 2.26	\$ 2.50	\$ 2.88
Shares outstanding							
Basic	1,085	1,061	1,039	1,025	1,008	993	980
Diluted	1,094	1,068	1,049	1,036	1,019	1,004	991
Adjusted corporate & other operating costs	(863)	(1,074)	(1,275)	(1,285)	(1,330)	(1,375)	(1,415)
Adjusted operating profit	7,253	9,056	10,727	12,388	14,078	15,517	16,923
EBITDA	8,437	10,247	12,068	13,952	15,743	17,300	18,818

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 5: Quarterly Income Statement

GE Aerospace Quarterly Income Statement (\$mil) >>post movement of Aeroderivative to DPT										
Fiscal Year Ending December 31,	2024					2025				
	12 mos	Q1	Q2	Q3	Q4	12 mos	Q1	Q2	Q3 E	Q4 E
CES	26,881	6,664	7,646	8,521	9,118	31,948	8,920	9,731	9,737	10,108
DP&T	9,479	2,698	2,978	3,251	3,270	12,197	3,214	3,443	3,466	3,473
Intersegment revenue	(1,239)	(361)	(473)	(466)	(522)	(1,823)	(519)	(540)	(545)	(561)
Total Segment Revenue	35,121	9,001	10,151	11,306	11,866	42,322	11,614	12,634	12,657	13,020
Insurance	3,582	934	872	875	852	3,533	778	715	875	852
Total Revenue	38,701	9,935	11,023	12,181	12,718	45,855	12,392	13,349	13,532	13,872
CES	7,055	1,910	2,208	2,384	2,160	8,662	2,356	2,657	2,616	2,684
DP&T	1,061	325	403	440	300	1,468	379	475	419	417
Total segment profit (loss)	8,116	2,235	2,611	2,824	2,460	10,130	2,735	3,132	3,035	3,101
Corporate & Other operating profit (cost)	(337)	43	(237)	(279)	374	(99)	(500)	(281)	(217)	(220)
Interest and other financial charges	(986)	(210)	(158)	(225)	(250)	(843)	(230)	(215)	(244)	(239)
Non-operating benefit income (costs)	841	201	197	198	192	788	176	177	198	192
EBT	7,625	2,264	2,406	2,517	2,851	10,038	2,198	2,801	2,771	2,833
Provision for income taxes	(963)	(283)	(388)	(344)	(390)	(1,405)	(252)	(407)	(435)	(445)
Income from continuing operations	6,662	1,981	2,018	2,173	2,461	8,633	1,946	2,394	2,336	2,388
Discontinued operations	(91)	10	21	(17)	89	103	(26)	(38)	-	-
Non-controlling interests	(12)	5	7	3	(10)	5	(16)	13	-	-
Net income	6,559	1,996	2,046	2,159	2,541	8,742	1,904	2,369	2,336	2,388
Preferred dividends	-	-	-	-	-	-	-	-	-	-
Net income to GE shareholders	6,559	1,996	2,046	2,159	2,541	8,742	1,904	2,369	2,336	2,388
Basic EPS	\$ 6.13	\$ 1.85	\$ 1.89	\$ 2.06	\$ 2.33	\$ 8.13	\$ 1.85	\$ 2.31	\$ 2.25	\$ 2.31
Diluted EPS	\$ 6.09	\$ 1.85	\$ 1.87	\$ 2.04	\$ 2.31	\$ 8.07	\$ 1.83	\$ 2.30	\$ 2.23	\$ 2.28
Adj. EPS	\$ 4.60	\$ 1.49	\$ 1.66	\$ 1.66	\$ 1.57	\$ 6.37	\$ 1.86	\$ 2.02	\$ 1.95	\$ 2.01
Dividend per share	\$ 1.12	\$ 0.29	\$ 0.37	\$ 0.36	\$ 0.36	\$ 1.38	\$ 0.36	\$ 0.47	\$ 0.47	\$ 0.47
Shares outstanding										
Basic	1,085	1,070	1,063	1,058	1,052	1,061	1,044	1,040	1,037	1,035
Diluted	1,094	1,078	1,071	1,065	1,060	1,068	1,054	1,047	1,048	1,046
Adjusted corporate & other operating costs	(863)	(70)	(257)	(524)	(252)	(1,074)	(207)	(386)	(342)	(341)
Adjusted operating profit	7,253	2,165	2,354	2,300	2,208	9,056	2,528	2,746	2,693	2,760
EBITDA	8,437	2,464	2,665	2,603	2,515	10,247	2,840	3,059	3,048	3,121

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 6: Balance Sheet

GE Aerospace Balance Sheet (\$mil) - Summary							
Fiscal Year Ending December 31,	2024	2025	2026E	2027E	2028E	2029E	2030E
Cash, cash equivalents, and restricted cash	13,619	12,392	11,593	11,028	12,555	13,859	15,504
Investment securities	982	-	-	-	-	-	-
Receivables – net of allowances	9,327	11,773	13,259	14,467	15,838	17,133	18,185
Inventories	9,763	11,868	13,599	14,772	15,763	16,845	17,859
Current Contract Assets	2,982	3,511	4,148	4,589	5,024	5,500	6,038
All other current assets	962	1,052	1,267	1,383	1,514	1,658	1,759
Assets of businesses held for sale	-	-	-	-	-	-	-
Current Assets	37,635	40,596	43,867	46,239	50,694	54,994	59,344
Investment securities	37,741	38,788	37,910	37,910	37,910	37,910	37,910
Property, plant, and equipment – net	7,277	7,987	8,366	8,896	9,469	10,088	10,747
Goodwill	8,538	9,060	8,954	8,954	8,954	8,954	8,954
Other intangible assets – net	4,257	4,225	3,874	3,428	2,973	2,497	1,992
Contract assets	4,831	4,920	4,976	4,976	4,976	4,976	4,976
All other assets	13,910	15,277	15,469	15,469	15,469	15,469	15,469
Deferred income taxes	7,111	7,459	6,929	6,929	6,929	6,929	6,929
Assets of discontinued operations	1,841	1,855	1,517	1,517	1,517	1,517	1,517
Total Assets	123,141	130,169	131,862	134,318	138,892	143,335	147,838
Short-term borrowings	2,039	1,686	-	-	-	-	-
Accounts payable	7,909	10,078	10,741	11,429	12,112	12,789	13,427
Sales discounts and allowances	3,475	4,037	4,993	4,993	4,993	4,993	4,993
Contract liabilities	9,353	10,333	11,407	12,013	12,670	13,268	13,843
Liabilities of businesses held for sale	-	-	-	-	-	-	-
All other current liabilities	4,920	5,184	4,897	5,658	6,194	6,781	7,197
Current Liabilities	34,391	38,980	39,874	42,077	44,090	46,044	47,777
Deferred income	1,013	1,065	1,070	1,070	1,070	1,070	1,070
Long-term borrowings	17,234	18,808	19,157	17,685	17,300	15,843	13,813
Insurance liabilities and annuity benefits	36,209	36,894	36,195	36,195	36,195	36,195	36,195
Compensation and benefits	7,035	6,833	6,537	6,537	6,537	6,537	6,537
Liabilities of discontinued operations	1,317	1,413	1,144	1,144	1,144	1,144	1,144
All other liabilities	6,376	7,278	7,273	7,273	7,273	7,273	7,273
Total Liabilities	103,575	111,271	111,250	111,981	113,609	114,105	113,809
Preferred stock	-	-	-	-	-	-	-
Common stock	15	15	15	15	15	15	15
Less common stock held in treasury	(81,566)	(87,801)	(92,454)	(99,454)	(106,454)	(113,454)	(120,454)
Accumulated other comprehensive income (loss) – net	(3,861)	(4,798)	(4,948)	(4,948)	(4,948)	(4,948)	(4,948)
Retained earnings	80,488	87,663	94,698	103,423	113,369	124,315	136,115
Other capital	24,266	23,598	23,074	23,074	23,074	23,074	23,074
Total equity attributable to shareholders	19,342	18,677	20,385	22,110	25,056	29,002	33,802
Noncontrolling interests	223	221	227	227	227	227	227
Total equity	19,565	18,898	20,612	22,337	25,283	29,229	34,029
Total liabilities, redeemable noncontrolling interests and equity	123,141	130,169	131,862	134,318	138,892	143,335	147,838

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 7: Cash Flow Statement

GE Aerospace Statement of Cash Flows (\$mil) - Summary							
Fiscal Year Ending December 31,	2024	2025	2026E	2027E	2028E	2029E	2030E
Net income	6,572	8,633	9,065	10,809	12,221	13,431	14,619
Income (loss) from discontinued operations, net of taxes	85	-	(64)	-	-	-	-
Net income from continuing operations	6,657	8,633	9,001	10,809	12,221	13,431	14,619
Adjustments to reconcile Net income from continuing operations to Cash from (used for) operating activities							
Depreciation and amortization of property, plant, and equipment	834	863	957	1,119	1,211	1,307	1,389
Amortization of intangible assets	350	357	384	446	455	476	505
(Gains) losses on retained and sold ownership interests and other equity securities	(719)	(508)	173	-	-	-	-
Principal pension plans cost	(653)	(655)	-	-	-	-	-
Principal pension plans employer contributions	(210)	(211)	-	-	-	-	-
Other postretirement benefit plans (net)	(299)	(230)	-	-	-	-	-
Provision for income taxes	962	1,405	658	-	-	-	-
Cash paid during the year for income taxes	(334)	(739)	(141)	-	-	-	-
Increase (decrease) in sales discounts	(266)	562	956	-	-	-	-
Changes in operating assets and liabilities, excluding the effects of acquisitions and dispositions:							
Receivables	(1,076)	(2,437)	(1,593)	(1,208)	(1,371)	(1,294)	(1,052)
Due from related parties	-	-	-	-	-	-	-
Inventories	(1,528)	(1,981)	(1,802)	(1,173)	(991)	(1,082)	(1,014)
Contract and other deferred assets	(112)	(511)	(643)	(441)	(435)	(476)	(538)
Accounts payable	688	1,993	775	688	682	678	638
Progress collections and deferred income / contract A/L	531	838	179	148	137	91	104
All other operating activities	(326)	136	532	645	405	443	315
Cash from (used for) operating activities – continuing operations	5,816	8,581	10,088	11,639	12,971	14,172	15,541
Cash from (used for) operating activities – discontinued operations	(1,106)	(6)	(108)	-	-	-	-
Cash from (used for) operating activities	4,710	8,575	9,980	11,639	12,971	14,172	15,541
Additions to property, plant, and equipment	(1,032)	(1,273)	(1,402)	(1,648)	(1,784)	(1,926)	(2,047)
Dispositions of property, plant, and equipment	114	123	58	-	-	-	-
Dispositions of retained ownership interests	5,250	-	-	-	-	-	-
Net (purchases) dispositions of insurance investment securities	(963)	425	(7)	-	-	-	-
All other investing activities	(4,289)	309	(1,247)	-	-	-	-
Cash from (used for) financing activities – continuing operations	(556)	(776)	(2,599)	(1,648)	(1,784)	(1,926)	(2,047)
Cash from (used for) financing activities – discontinued operations	(1,110)	(377)	(110)	-	-	-	-
Cash from (used for) financing activities	(1,666)	(1,153)	(2,709)	(1,648)	(1,784)	(1,926)	(2,047)
Net decrease in borrowings	2	25	(20)	(1,472)	(386)	(1,457)	(2,030)
Newly issued debt	-	1,985	-	-	-	-	-
Repayments and other reductions (maturities longer than 90 days)	(788)	(1,811)	(1,026)	-	-	-	-
Dividends paid to stockholders	(1,008)	(1,452)	(1,853)	(2,084)	(2,275)	(2,484)	(2,819)
Redemption of GE preferred stock	-	-	-	-	-	-	-
Purchases of GE common stock for treasury	(5,827)	(7,551)	(5,527)	(7,000)	(7,000)	(7,000)	(7,000)
All other financing activities	992	120	54	-	-	-	-
Cash from (used for) financing activities – continuing operations	(6,629)	(8,662)	(8,372)	(10,556)	(9,660)	(10,942)	(11,849)
Cash from (used for) financing activities – discontinued operations	(98)	-	-	-	-	-	-
Cash from (used for) financing activities	(6,727)	(8,682)	(8,372)	(10,556)	(9,660)	(10,942)	(11,849)
Effect of foreign exchange rate changes on cash, cash equivalents, and restricted cash	(193)	201	(68)	-	-	-	-
Increase (decrease) in cash, cash equivalents, and restricted cash	(3,977)	(1,059)	(1,169)	(566)	1,527	1,304	1,645
Cash, BB	19,755	15,880	12,392	11,592	11,027	12,554	13,858
Less cash, cash equivalents and restricted cash of discontinued operations at end of period / businesses held for sale	(5,304)	(1,126)	(218)	-	-	-	-
Cash, EB	14,451	13,695	11,005	11,027	12,554	13,858	15,503
FCF	3,678	7,302	8,686	9,990	11,187	12,246	13,493
Conversion to net income	56%	85%	96%	92%	92%	91%	92%
Adj. FCF	6,078	7,694	8,911	9,990	11,187	12,246	13,493

Source: Company reports, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	22 Jul 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
GE (GE Aerospace)	O	USD	341.19	421.00	12.9%	USD	6.37	7.83	9.16	53.6	43.6	37.3
OLD				405.00				7.59	8.82			
RTX (RTX)	M	USD	194.88	213.00	11.8%	USD	6.29	6.97	7.51	31.0	27.9	25.9
SPX			7,498.96									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**GE Aerospace**

We value GE by using a terminal value four years forward based on an EV/EBITDA multiple. We adjust for net debt to arrive at an equity value, discount that to our valuation date, add the discounted value of cash distributions to shareholders between now and the terminal date, to reach our 12-month target of \$421. Our absolute multiple for GE is 30.3x EV/EBITDA.

RTX Corporation

We value our Aerospace companies by using a terminal value four years forward based on an EV/EBITDA multiple. We adjust for net debt to arrive at an equity value, discount that to our valuation date and add the discounted value of cash distributions to shareholders between now and the terminal date to reach our 12-month price target of \$213. Our relative multiple for RTX is 20x based on a blended commercial aero and defense multiple.

RISKS**GE Aerospace**

For GE, downside risks relate to supply chain, Airbus and Boeing production rates, and financial performance of airlines. Shortages from suppliers could overly constrain GE's ability to produce and deliver products. If Airbus and/or Boeing production rates weaken relative to current plans, that could slow GE deliveries. If airlines have significantly weaker financial performance, this could eventually impact growth in GE's engine aftermarket.

RTX Corporation

Risks at RTX include end market risks (in commercial and defense aerospace) and execution risks. Overall on commercial aero, there are risks related to sustained demand. There are downside risks at Pratt & Whitney, related to performance on the Geared Turbofan. Upside risk to our target would be primarily from stronger economic growth and a faster global recovery. For the defense businesses, program execution and funding are downside risks. International demand is particularly important both to the upside and downside. The company's balanced portfolio should be less exposed to any single portion of the U.S. defense budget, but affected to some extent by changes to most major programs and to levels of foreign military sales.

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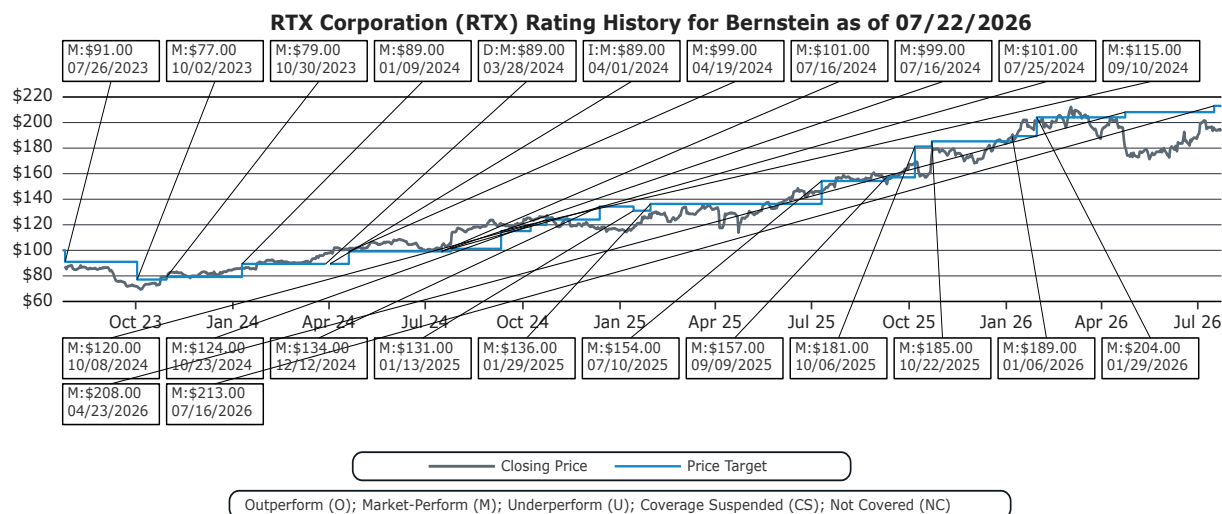
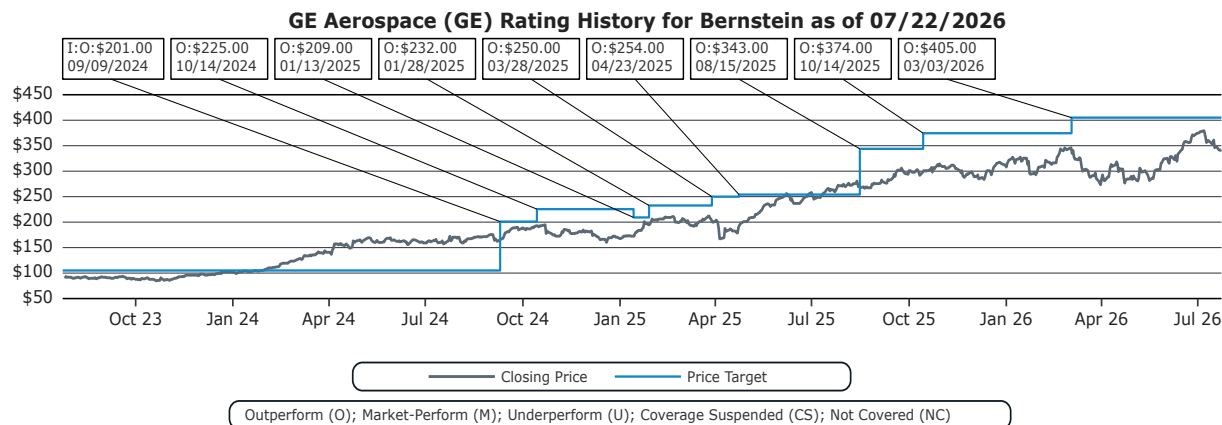
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Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

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